

Procurement Guidelines for NSW Local Government





Acknowledgement of Country

The Department of Planning, Housing and Infrastructure acknowledges that it stands on Aboriginal land. We acknowledge the Traditional Custodians of the land, and we show our respect for Elders past, present and emerging through thoughtful and collaborative approaches to our work, seeking to demonstrate our ongoing commitment to providing places in which Aboriginal people are included socially, culturally and economically.

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Procurement Guidelines for NSW Local Government

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1 Procurement and local government

This section provides a high-level overview of the legislative context and principles of best-practice procurement.

In this section

- 1.1 What is procurement for local government?
- 1.2 Why is procurement important?
- 1.3 Legislative context
- 1.4 Wider strategic context
- 1.5 Best-practice procurement (the plan, source, manage approach)

1.1 What is procurement for local government?

Procurement is the process describing how to plan for, source and manage the acquisition and purchase of resources responsibly and transparently, including through commercial arrangements that enable the delivery of strategic and operational outcomes for communities.

Procurement can take many forms including the acquisition and management of consumables, materials and equipment, such as vehicles and playground equipment, real property, built assets such as roads and major facilities, and services like construction facility maintenance, cleaning and security, consultancy, specialists and professional services.

The process starts with identifying and defining business needs and required budgets and extends through the whole life of arrangements. This includes planning for the procurement, approaching the market, selecting and engaging suppliers or service providers, monitoring and managing the contract and supplier performance, reviewing outcomes to assess the effectiveness of arrangements, and addressing any disposal or repurposing requirements. The whole lifecycle of products and associated total costs should be considered during the needs analysis and when developing procurement specifications.

1.2 Why is procurement important?

Councils manage significant finances on behalf of their communities and are responsible for making sure public money is directed to the assets and services most at need in an ethical and transparent manner.

With over \$16 billion a year being spent by councils on procurement activities, the people of NSW expect councils to have in place procurement practices that lead to quality outcomes, provide value for money and effectively manage risk.

The principles for local government outlined in Chapter 3 of the *Local Government Act 1993* (Act) require councils to support the development of strong, healthy, and prosperous local communities. The principles also require councils to strategically plan for and responsibly provide services and assets for their communities both now and into the future.

To do this, councils need to have a robust framework in place that aligns procurement decisions with strategic planning, optimises value and minimises risk.

1.3 Legislative context

Overview

Procurement activities in local government are governed by several different legal instruments, policies and guidance, including but not limited to:

- *Local Government Act 1993*
- Local Government (General) Regulation 2021
- *Modern Slavery Act 2018*
- *Public Interest Disclosures Act 2022*
- *Government Information (Public Access) Act 2009*
- *State Records Act 1998*
- these Guidelines.

Councils must comply with all legal obligations, as well as any NSW Government procurement policies relevant to the local government sector. If uncertain, councils should always refer directly to relevant legislation and seek their own independent legal advice.

***Local Government Act 1993* and the Local Government (General) Regulation 2021**

The Act and the Local Government (General) Regulation 2021 (Regulation) outline the requirements for how councils must source goods, materials and services through tendering, along with other general applicable requirements.

The specific requirements applicable to the tendering process will be covered in detail in the Source section of the Procurement Guidelines for NSW Local Government (Guidelines).

Note: Councils should not invoice, or order split to avoid tendering requirements as such activities would be contrary to the Act (Chapter 3). Controls to minimise the risk of order splitting will be covered in detail in supplementary guidance.

A council's procurement activities must be carried out in accordance with sections 55 and 55A of the Act, and Part 7 of the Regulation.

Section 55 of the Act sets out the requirements for tendering and prescribes a value 'threshold' of \$250,000 for contracts. Councils must follow the tendering requirements set out

in Part 7 of the Regulation before entering into contracts of this value or more, unless they are otherwise exempt under section 55(3) of the Act.

Note: This value threshold for contracts is inclusive of goods and services tax (GST) and applies to the total estimated contract value (this includes cumulative expenditure with a supplier for similar goods and services).

Requirements for procurements under the regulated threshold

Procurements under the value threshold prescribed by section 55 of the Act are exempt from the legislated tendering requirements. However, the principles and processes outlined throughout these Guidelines generally apply to procurements of any value.

Councils may set their own policy and procedures in this respect but must consider these Guidelines when doing so.

Modern Slavery Act 2018

The *Modern Slavery Act 2018* (MS Act) imposes obligations on councils relating to modern slavery. The Act requires councils to take reasonable steps to ensure that goods, materials and services procured by and for the council are not the product of modern slavery within the meaning of the MS Act (see section 438ZE of the Act).

Councils should refer to guidance issued by the NSW Anti-slavery Commissioner for more information about these requirements. Refer to the Resources section for further information and links.

Where relevant, further information about councils' modern slavery responsibilities is included throughout these Guidelines.

Annual reporting on modern slavery actions and steps

The Act references requirements, in alignment with the MS Act, for a council to publish in their annual report a statement of:

- the action taken by the council in relation to any issue raised by the Anti-slavery Commissioner during the year concerning the operations of the council and identified by the Commissioner as being a significant issue (see section 428(4)(c) of the Act), and

- the steps taken to ensure that goods, materials and services procured by and for the council during the year were not the product of modern slavery within the meaning of the MS Act (see section 428(4)(d) of the Act).

Councils must also submit this information to the Office of the Anti-slavery Commissioner (OASC) via the online form available via the OASC website.

Public Interest Disclosures Act 2022

The *Public Interest Disclosure Act 2022* (PID Act) establishes a framework for reporting serious wrongdoing and includes specific provisions that impact procurement processes within public agencies, including councils.

It also aims to promote a culture in which public interest disclosures are encouraged and to protect public officials, witnesses and other persons from detriment or liability that might arise because of public interest disclosures.

Councils are required to have effective processes in place to handle public interest disclosures, including to train staff on recognising and managing disclosures and ensuring all reports are assessed appropriately.

Refer to the PID Act for further information and its implication to procurement as well as guidance issued by the NSW Ombudsman.

Government Information (Public Access) Act 2009

The requirement to publish a register of Government contracts with the private sector in a register is set out in the *Government Information (Public Access) Act 2009* (GIPA Act) (see Part 3, Division 5 of the GIPA Act). This applies to all Government agencies, including councils.

Under the GIPA Act, councils are required to:

- keep a register of contracts (its government contracts register) that records information about each government contract to which the council is a party that has (or is likely to have) a value of \$150,000 (including GST), or more (class 1 contracts) (see section 27(1) of the GIPA Act), and
- enter information about a class 1 contract into the register within 45 working days after the contract becomes effective (see section 27(2) of the GIPA Act).

Refer to the GIPA Act for further information, including specific requirements about the information to be entered in the register for class 1, 2 and 3 contracts (see sections 29-30 of the GIPA Act), confidential information not required to be included in the register, the minimum public access period for information on the register, and publishing of the register.

State Records Act 1998

The *State Records Act 1998* (SR Act) regulates the creation, management and protection of the records of public offices of NSW. A public office includes a council, county council or joint organisation under the Act (see section 3(1) public office (a)(iii) of the SR Act).

Councils must keep, manage and protect procurement related records in accordance with the requirements of the SR Act. Refer to the SR Act and the State Records Regulation 2024 for further information about these requirements.

State Records NSW also publishes several resources for local government to help councils understand and promote recordkeeping, disposal of records, privatisation of functions, access to records and defining high risk records.

1.4 Wider strategic context

Councils should recognise that the above legislative requirements are not the only requirements applicable to their procurement activities. Councils' procurement occurs in a broader strategic context and is affected by legislation, codes, policies, and guidelines from other NSW Government agencies.

Procurement activities should also be undertaken in accordance with councils' own priorities identified in the community strategic plan (CSP), delivery program (DP) and operational plan (OP) under the integrated planning and reporting framework, and in council resolutions, procurement policies, procedures and guidance.

Councils are encouraged to recognise the public value of spending and adopt social and sustainable procurement practices that commit to fostering broader societal benefits by protecting the environment and fostering sustainability, and promoting and engaging with local businesses, including Aboriginal businesses and social enterprises.

This approach ensures that councils contribute meaningfully to community development, strengthen economic resilience, and promote financial sustainability to achieve improved social outcomes for their communities.

Further information about relevant legislation, NSW Government requirements and consideration of broader societal benefits is included in the relevant sections of the Guidelines.

1.5 Best-practice procurement (the plan, source, manage approach)

Overview

The plan, source, manage approach to procurement describes the lifecycle phases of most typical procurements and provides best-practice methodology to deliver value for money, align spending with business needs, improve service delivery, and support a competitive economy.

It consists of three broad phases: Plan, Source and Manage. Some councils may highlight other lifecycle phases in their approach to procurement; however, the Guidelines will focus on capturing all elements of the lifecycle phases under these three broad phases.

While every phase is important, councils may not have to spend the same time and resources on each. Councils should make their own assessment based on the size of the procurement activity, the level of risk and complexity, their situation and needs.

Risk management is an essential element of best-practice procurement, and risk management strategies should be in place at each phase of the procurement process.

Similarly, a whole of life risk-based approach should be taken regarding supplier and product due diligence. Councils should consult the Independent Commission Against Corruption's (ICAC) website and guidance about supplier due diligence for more details.

Procurement methodologies and decisions made throughout the procurement lifecycle should be documented and filed according to the SR Act and to each council's record keeping policy and procedures to ensure transparency, accountability, and to demonstrate defensible processes and decision-making.

Plan

It is important to do the groundwork to plan for the council's procurement to ensure a strategy is formulated that best meets the council's requirements and the intended outcome for the procurement. This involves:

- a needs analysis (e.g. a master plan, project plan or business case)
- determining availability of funds (e.g. budgetary requests, grants and approvals)
- developing procurement documents that clearly articulate requirements and terms (e.g. scope, specification and statement of requirements)
- identifying risk and management measures (e.g. a risk assessment with identified controls and treatments)

- understanding community and other stakeholder needs and expectations (e.g. outcomes of any community engagement, council resolutions or stakeholder consultation)
- market analysis and early industry engagement to test appetite to supply, capacity, capability, factors influencing supply, and innovation (e.g. through Requests for Information or Expressions of Interest), and
- formalising or documenting the procurement strategy (e.g. the development of a procurement plan, a communications plan, evaluation plan and finalisation of the Request for Tender or Request for Quotation and contract documents).

Source

This phase is about approaching the market for the required goods, materials or services, and evaluating and selecting the suppliers that will deliver the best value for money. It involves:

- approaching the market (e.g. by means of advertising requests for goods or services with conditions of participation)
- selecting suppliers that pass due diligence checks, address selection and evaluation criteria and best meets the requirements to demonstrate value for money (e.g. through a scoring methodology)
- clarifying terms, recommending and awarding a contract (e.g. via selection or recommendation reports for consideration by delegated approvers)
- debriefing unsuccessful proponents (e.g. via post tender review or feedback meetings), and
- contract disclosure in compliance with legislation (e.g. displaying awarded contract details on the contracts register).

Manage

Management of contracts ensures suppliers deliver what they have committed to, that good supplier relationships are developed, and all other obligations between buyer and supplier are met. This phase involves:

- buyer and supplier document agreed systems, processes, risks, and responsibilities for key tasks (e.g. setting a contract management plan)
- ensuring a smooth transition of services (e.g. for new suppliers in the form of a transition plan)
- ensuring governance and management of contractual obligations (e.g. agreement on milestone-based billing, management and approval of variations)

- tracking supplier performance and delivery against the agreed contract management plan and contract terms
- considering strategy for any contract renewal, extension, or variation process that may be required or planned for the future (as needed)
- reviewing processes, outcomes, documentation, records, and supplier performance to inform future procurement processes (e.g. a post contract review report).

2 Principles of best-practice procurement and key governance considerations

This section provides guidance on the principles of effective procurement management and key governance considerations relevant to all councils.

Councils should carry out all procurement activities in accordance with the principles that underpin best-practice procurement. These activities should be supported by a strong procurement governance framework with clear policies and procedures.

In this section

- 2.1 What are the principles of best-practice procurement?
- 2.2 Internal governance
- 2.3 Procurement staff
- 2.4 Documentation, information and records management
- 2.5 Information, communication and technology
- 2.6 Council procurement strategy, policies and procedures
- 2.7 Risk considerations

2.1 What are the principles of best-practice procurement?

Overview

Procurement activities should be carried out in alignment with the following set of general principles that reflect best practice. These principles apply to every procurement, irrespective of the value, complexity and risk level involved. These are based on the legislative requirements that councils must adhere to and the efforts they should make to achieve the best possible outcomes for their communities through their procurement processes.

The principles are:

- Value for money
- Fair and open competition
- Probity and transparency
- Innovation
- Economic development, social outcomes, and sustainability.

Value for money



Value for money is an essential consideration in procurement.

Councils must act in the best interests of their residents, ratepayers, and wider community when handling public money. As such, achieving value for money in procurements is essential for councils in meeting their obligations to the community and ensuring public trust in its spending.

Factors involved in assessing value for money

When determining whether a procurement represents value for money, councils should assess a range of factors, both financial and non-financial. Each council may set its own evaluation criteria but are encouraged to consider the factors outlined in Table 1 below.

Table 1: Examples of factors to consider when assessing value for money

Factor	Example
Justify the procurement need Is the procurement required? Is there an alternative option available?	• Need/scope/specification • Alternatives • Ability to repurpose existing assets, equipment, materials or resources
Fit for purpose Does the procurement meet council's needs?	• Quality • Quantity • Methodology or program • Cost quoted or tendered
Supplier assessment Can the supplier fulfill the requirements of the contract?	• Relevant experience • Performance history • Capability and capacity • Support and service provided
Broader council and government objectives Does the contract fit with wider policies and strategies?	• Council priorities, strategy and CSP targets • Economic, social, environmental, and ethical objectives
Total cost of ownership What are other costs affecting the procurement? What costs are required to maintain or operate beyond the initial purchase price? What are the re-sale options?	• All costs borne by council over the lifecycle of the procurement • Costs are either lump sum, schedule of rates, provisional or subject to milestone deliverables
Timeliness When is the procurement needed?	• Key dates • Considerations for timelines and timeframes
Risk What uncertainties may affect or arise from the procurement?	• Risks • Controls • Insurance cover and requirements

Key takeaways:

- All procurement must demonstrate value for money.
- Value for money does not mean obtaining and accepting the lowest price for a good or service.
- A big picture view is required. This involves assessing a range of factors to get the greatest total benefit for a community.

Fair and open competition



Competition, equal access and non-discrimination are crucial for effective procurement.

Councils must promote fair and open competition by ensuring an even playing field and equal treatment for all potential suppliers or vendors. Fair and open competition is important as it demonstrates transparency, inclusion, opportunities to promote innovation, improved efficiency, and increases opportunities for suppliers, including those new to the market. Encouraging competition is also a way for councils to manage corruption risks when procuring.

Councils can encourage fair and open competition by thoroughly reviewing long-term contracts and contracts that need to be renewed, providing an opportunity for a variety of suppliers to compete for procurements and continue to maintain probity.

Councils should:

- **be open, transparent and fair:** take a balanced approach between contracting with known reliable suppliers and considering reviewing contracts to improve accessibility for new entrants.
- **encourage new suppliers:** through the review of contracts and providing opportunities for different types of suppliers to tender their offerings for consideration so council may assess their products, experience and capabilities.

All suppliers to procurements must be treated (and seen to be treated) in an open, fair and transparent manner, having access to the same information about the procurement, and clear information on the procurement process, for them to be able to make submissions on equitable terms.

Key takeaways:

- Councils should procure in a fair and competitive way.
- Encourage new suppliers.
- All suppliers are to be given equal access to the same information without any unfair advantage.
- Corruption risks are lower in competitive procurements.

Probity and transparency



Councils must always procure with probity and transparency.

Probity refers to complete honesty and integrity in a particular process or action, that can be confirmed and evidenced to observers. For councils, this means being able to demonstrate integrity, accountability, and fairness in a way that withstands external scrutiny in all procurement activities.

Probity and transparency are evidenced through the execution of councils' endorsed procurement procedures that align with these Guidelines and comply with the Model Code of Conduct for Local Councils in NSW (Model Code of Conduct).

Councils with good governance are more likely to succeed in implementing strong probity practices in their procurement activities.

Probity is important as it allows councils to safeguard their procurements and achieve optimal community outcomes. It is important for managing risks, as procurement activities can be susceptible to fraud and corruption.

Key aspects of probity

While processes may vary between councils depending on the specific procurement requirements, all councils should ensure they have considered the key aspects of probity outlined in Table 2 below that align to the Model Code of Conduct.

Table 2: Key aspects of probity

Key aspect	Councils should have consideration for the following
Impartiality and fairness	• Treat all suppliers fairly and consistently during selection and evaluation (e.g. market participants must all be provided with or access to the same information at the same time, and submissions must be given fair and equal consideration in accordance with the tender documents and the conditions of tendering issued to the market, legislation, and council policies). • Develop probity plans and evaluation processes upfront so that suppliers are aware of council's procurement processes. • Only approach the market with the intention, capacity, and funding to execute a procurement contract. • <u>Not</u> engage in collusive practices or give improper advantages to certain suppliers. • Have multiple staff on higher risk/higher value procurement processes (e.g. engage a probity consultant for tenders that have significant impact i.e. where there is a planning component or in the development/construction of major projects).
Defensible documents and record keeping	• Ensure full and clear documentation and instruction for procurement processes, sourcing requirements, timelines, submission conditions, evaluation criteria, participation, delegation and decisions. • Records are saved to document management systems for audit, future reference and GIPA Act purposes.
Managing conflicts of interest	• Implement a conflict-of-interest policy. • Ensure all conflicts of interests are documented and appropriately treated (for each procurement project). • Comply with conflict-of-interest obligations.
Confidentiality	• Ensure appropriate control arrangements are in place to protect confidential information. • Consider the use of legally binding confidentiality agreements, such as confidentiality or non-disclosure clauses in contracts.

Key aspect	Councils should have consideration for the following
Management of disputes and misconduct	• Provide a mechanism for dispute resolution. • Provide a way to report misconduct or make a public interest disclosure (PID). • Manage corruption and lobbying risks.
Integrity and mitigating risks	• For all high-risk projects, implement a probity plan for all phases of the procurement process (including the delivery of a contract).
General compliance	• Comply with all other legal and policy obligations relevant to local government.

Probity advisors or probity auditors

It may be appropriate to engage a probity adviser or auditors if:

- the procurement process is complex or high-risk
- the project is vulnerable to corrupt practices
- the project has a high level of public interest or scrutiny
- there may be perceived bias or favouritism, or
- the integrity of the process could be questioned.

Councils should include the threshold of risk that triggers the involvement of a probity advisor or auditor in their risk management framework.

However, using an external probity advisor or auditor should be the exception and not the rule and engagement should be subject to each council's own policy and procedures. They are not a substitute for good probity and governance practices, and do not remove the ultimate accountability for probity from council.

Probity advisors: provide advice on probity matters, and act as part of the procurement team throughout key phases of the procurement lifecycle. They can assist in finding solutions to probity issues that may arise and may be engaged just to oversee the procurement process, or to oversee the procurement contract for the life of the contract.

Probity auditors: act separately from a procurement team and check whether a procurement complies with probity-related obligations and generally review the details after the procurement has concluded.

If electing to use a probity advisor or auditor, councils may wish to utilise the Legal Services or Internal Audit and Management Contract specified by Local Government Procurement or the Performance and Management Services Scheme, a prequalification scheme provided by the

NSW Government. If using the Performance and Management Services Scheme, councils must comply with the rules associated with its use, (see section 55(3)(g) of the Act).

Key takeaways:

- Probity is essential at every stage of the procurement process.
- Each person involved in the procurement process is accountable for ensuring probity.
- Probity and open competitive procurements reduce council's exposure to risks (financial, legal, reputational).

Innovation



Innovation involves coming up with new ideas that result in better outcomes.

Councils should consider innovative products, services or proposed options where it is possible to drive better outcomes when procuring goods, materials, or services. Innovation can benefit councils and communities by solving identified problems, stimulating the economy through investment and purchasing, increasing operational efficiency, and expanding supplier networks and diversity.

Innovation can occur at any phase of the procurement process. It can encourage improvements to internal procurement and operational processes as well as strengthen and grow supplier advancement. The focus should be on constant improvement.

Councils can innovate by:

- **engaging with the market** – using the broader industry and conducting market analysis (e.g. via the Request for Information or Expression of Interest process) which can enable creation of better ideas and find suppliers who can deliver new and better products and services, faster and more cost effectively.
- **collaborating with other levels of government** – councils can leverage partnerships and collaboration to optimise innovative solutions, pooling resources, knowledge and capitalise to better serve the collective needs of the community.
- **encouraging businesses** – that are creative and stimulate ideas that grow the economy and develop more effective supply sources. This can also make it easy to do business and understand and comply with contractual terms and requirements.

- **considering alternate proposals in tenders** – so long as all associated risks are managed effectively, the marketplace has been researched and tested for alternatives and the proposal is submitted with a conforming tender submission that addresses the original tender request and statement of requirements. Any alternate proposals should be considered with reference to these Guidelines and in accordance with each council’s own procurement policy.

Key takeaways:

- Innovation can occur at any stage of the procurement process.
- Councils should innovate where possible, but not at the expense of other principles.
- The focus should be on constant improvement.

Economic development, social outcomes, and sustainability



Councils are encouraged to support positive social, environmental, and economic outcomes in their procurements, especially where there are supplier options available.

Purchasing from social and sustainable enterprises supports economic and social change and positively impacts the environment. While not mandatory (and subject to each council’s procurement policy and strategic objectives), it is recommended councils consider these aspects with suppliers when options are available for the goods, materials, or services they need. The key benefits of considering such factors in procurements are outlined in Table 3 below.

Table 3: Key benefits

Supplier type	Key benefits
Social enterprises	• Social enterprises are businesses that trade with the goal of achieving social and environmental outcomes that benefit the public, community, and environment, while addressing societal problems. • Social enterprises may benefit disadvantaged Australians by providing training and employment opportunities, community and social services, or ethical products and services, with a significant portion of profits reinvested into social causes.

Supplier type	Key benefits
Indigenous businesses and participation of Aboriginal people	• Councils are encouraged to identify Aboriginal businesses within their local areas where they may source goods and services. • The NSW Government identifies an Aboriginal business as one that is majority Aboriginal ownership (51%) and that is recognised through an appropriate organisation, such as: ○ Supply Nation ○ BuyNSW ○ NSW Indigenous Chamber of Commerce, or ○ Office of the Registrar of Indigenous Corporations. • These organisations maintain lists of Aboriginal businesses that are audited and undergo quality assurance. • Councils may consider adapting information from the NSW Government's Aboriginal Procurement Policy to promote opportunities, skills development, and economic participation of Aboriginal people, while valuing their social and cultural contributions, along with progressing efforts to Close the Gap. Alternatively, they may consider engaging Aboriginal businesses through Local Government Procurement's First Nations Procurement Scheme.
Australian Disability Enterprises (ADEs)	• ADEs are not-for-profit organisations that employ people living with a disability, empowering them to contribute to their community. ADEs operate across several industries including hospitality, retail, manufacturing, recycling and horticulture. <i>Note:</i> An open tender process is not required when procuring from a person or body approved as a disability employment organisation under the <i>Public Works and Procurement Act 1912</i> (see section 55(3)(q) of the Act).
Environmental organisations	• A council's procurement activity can have a direct contribution to local and global environmental commitments.

Supplier type	Key benefits
	• Relevant organisations may have the following environmental credentials: ○ Environmental ISO or AS standards ○ Australian National Packaging Standards and targets ○ Those with circular economies or product impact reporting schemes ○ Energy efficiency ratings, de-carbonisation, climate change and transition to Net Zero ○ Biodiversity and habitat protection. • Consideration of the 10Rs framework of a circular economy which provides a practical guide for councils to extend product lifecycles and minimise environmental impact

Councils can create policies that align with Government initiatives to encourage positive social, environmental, and economic outcomes. Some of the NSW Government policy initiatives include:

- supporting small and medium-sized enterprises (SMEs)
- supporting regional or local businesses
- encouraging groups of businesses and collaborations between smaller suppliers
- encouraging supplier diversity, Aboriginal businesses and ADEs, and
- procuring sustainably, considering environmental, human, social and economic factors.

Some optional resources and principles for social and sustainable sourcing are listed under the Resources section.

Modern slavery

Councils must take reasonable steps to ensure that the goods and services they procure are not the product of modern slavery.

Councils must undertake supplier due diligence throughout the procurement process to identify and manage modern slavery risks and must remediate any instances of modern slavery. These steps should be taken at each phase of the plan, source, manage lifecycle and might include:

- early market engagement to understand how best to integrate modern slavery risk into sourcing process
- incorporating modern slavery management criteria into pre-qualifications schemes
- including the NSW Anti-slavery Commissioner's Model Tender Clauses in tender processes
- tailored due diligence to identify the residual risks associated with specific suppliers, and
- incorporating the NSW Anti-slavery Commissioner's Model Contract Clauses in supplier agreements.

Councils can find detailed guidance on modern slavery due diligence and remediation in the NSW Anti-slavery Commissioners' Guidance on Reasonable Steps (see Resources).

Key takeaways:

- Procuring from social and sustainable enterprises supports economic and social change as well as having a positive effect on the environment.
- Councils may choose to adapt NSW Government initiatives, strategies, policies and guidance materials where appropriate and permissible under law.
- Councils must take reasonable steps, including due diligence and remediation, to ensure that the goods and services they procure are not the product of modern slavery.

2.2 Internal governance



Sound internal governance enables better procurement outcomes.

Code of conduct

Council staff involved in the procurement process must comply with the same ethical and behavioural standards as other council officials, including compliance with the council's adopted code of conduct.

Any concerns about breaches of the council's code of conduct by staff must be reported to the general manager, or, in the case of breaches by the general manager, to the mayor, as required by the *Procedures for the Administration of the Model Code of Conduct for Local Councils in NSW* (Procedures).

Conflicts of interest

Conflicts of interest can arise at any phase of the procurement process. Conflicts of interest can be either pecuniary (financial) or non-pecuniary (non-financial).

A person will have a pecuniary conflict of interest in a matter where they stand to gain or lose financially from a decision made in relation to the matter. They will have a non-pecuniary conflict of interest in a matter where a reasonable and informed person would perceive they could be influenced by a private interest when carrying out their duties in relation to the matter.

Managing conflicts of interest

Council officials and third parties acting on behalf of councils, including suppliers engaged during the procurement process, must ensure they have no real or perceived bias or conflicts of interest that could influence how they exercise their functions.

If a conflict is identified, it must be promptly declared, assessed and addressed. If necessary, alternative working arrangements or other actions should be implemented to resolve the conflict in favour of the public interest.

ICAC recommends:

- councils implement a policy on conflicts of interest
- identifying, disclosing, and managing all conflicts of interests which may involve implementing and monitoring a council-prepared conflict of interest management plan

- council officials are encouraged to report any conflicts of interest that they believe on reasonable grounds to be undisclosed, inadequately or wrongly disclosed or inadequately managed
- obliging suppliers and tenderers to disclose in writing any actual or potential conflicts of interest, including relationships or interests with council staff, other tenderers and associated entities. ICAC's website provides guidance and various publications on managing conflicts of interest in the NSW public sector. Councils should consult this information for more details.

The Model Code of Conduct prescribes mandatory requirements for disclosing and managing pecuniary and non-pecuniary conflicts of interests.

Register of interests

Councils should keep a register of all conflicts of interest that have been disclosed by staff and representatives of any contracted entities for all procurement activities.

A register helps ensure that conflicts are declared and managed as they arise and assists in managing conflicts in any subsequent procurement with a supplier.

Financial controls

Section 8B of the Act requires councils to have sound financial management. Councils must implement and regularly review their financial controls and budgetary processes in relation to procurement activities to minimise and mitigate financial risks to the council.

Segregation of duties

Ensuring clear operational separation between staff responsible for each phase of a procurement activity is crucial for minimising risk. Without this separation, transparency is limited, and the council is more exposed to unethical behaviours, potential fraud and corruption.

Implementing a procurement process with appropriate segregation of duties is necessary. At a minimum, different staff are to be responsible for:

- supplier selection activities, specifically establishing the evaluation criteria against which potential suppliers are to be assessed and evaluating submissions and recommending potential suppliers
- drafting contract terms and authorising the final agreement
- raising purchase orders and approving corresponding payments, and

- purchasing activities, specifically requesting and receipting delivery of goods and services, approving the expenditure of relevant funds in line with approved budget provisions, and financial delegation of authority thresholds.

Councils should regularly review staff responsibilities, competence and skill development with procurement processes, including liaising with internal teams, to identify each type of risk and ensure systems are in place to manage any exposures appropriately.

Delegations and approvals

Delegations are a vital part of council controls that ensure appropriately skilled staff perform key functions or tasks and provide approvals of expenditure or financial commitments within the approved duties and thresholds applicable to their role. Well implemented delegations can save costs while minimising the risk of fraud, corruption or errors resulting from the inappropriate approval of transactions. Delegations are also used to increase the efficiency of authorisation and decision-making within approved budget provisions.

The Act provides that a council may, by resolution, delegate certain functions to its general manager or any other person or body (not including another employee of the council). The general manager may in turn subdelegate functions delegated to them by the council to staff and others. However, decisions to accept tenders to provide services currently provided by members of staff of the council, (i.e. decisions to outsource services currently provided inhouse by council staff), cannot be delegated and must be made by a resolution of the council (see section 377(1)(i) of the Act, and for joint organisations section 397K of the Regulation).

Councils and the general manager should clearly document which functions of the tendering process are to be delegated, any limitations based on financial amount or resourcing impact, and to whom or the position the delegation is to be made. Each council must review all its delegations during the first 12 months of each term of office (see section 380 of the Act).

Auditing and process reviews

All councils are required to appoint an Audit, Risk and Improvement Committee that must review aspects of the council's operations including compliance, risk management, fraud and corruption control, financial management, and governance.

Including an audit of the council's procurement practices in the council's internal audit work plan and linking it to the council's strategic objectives will help to identify and mitigate current and emerging risks and challenges.

For councils with larger procurement budgets, diverse or complex procurement arrangements and higher risks, more frequent general reviews of procurement policies and processes, in addition to an audit, may be appropriate to ensure that purchased goods and services meet expectations. However, this may not be necessary for smaller councils with lower risk profiles.

2.3 Procurement staff

Procurement staff may have various duties and responsibilities depending on the size of the council, the available staff supporting procurement activities, and the complexity and number of procurement activities. However, all staff undertaking procurement play a crucial role in ensuring that sourced products and services provide the best value for money and meet the needs of the council.

Councils should regularly review whether its procurement resources are adequate and appropriate for the procurement needs of the council. This may include considering:

- requirements for achieving councils' goals as set out in its CSP and OP.
- who is the go-to person or team for procurement support and guidance?
- what are the primary responsibilities of that person or team? This may be providing procedural advice, researching key suppliers and options for delivering a desired outcome, drafting documentation, tendering and executing purchase agreements, and ensuring all products and materials meet council's standards in compliance with legislation.
- does the person or team have the right knowledge and skills or is additional training required? Can this be coordinated with other councils or done online to reduce costs?
- is a specialist person or team essential and appropriate for the council's size and needs?
- which service model (decentralised, centre-led or centralised) best suits the resourcing, size and complexity of the council?
- does the council need to engage external expertise?

Specialist teams

Forming a specialist team of skilled procurement professionals can help to reduce costs, streamline processes and improve procurement outcomes. This team may handle key procurement tasks (e.g. the coordination of tenders, executing contracts for purchasing goods, materials or services) while ensuring council activities are smart, align with the council's strategic and long-term goals, and are cost-effective.

A specialist team that oversees all procurement can also improve overall efficiency by:

- understanding a council's spending and consolidating purchasing activities
- developing strong relationships with other groups within council such as finance, project management, marketing, design and engineering
- developing strong relationships with other councils and joint organisations
- developing strong working relationships with suppliers

- identifying opportunities (e.g. a joint procurement arrangement with other councils could be entered into to maximise the council's tendering and purchasing power).

External professional expertise

When a council lacks in-house expertise and resources, such as for a significant and complex project or for specific expertise like a probity advisor or probity auditor (see Probity and transparency), it may consider engaging external professionals to provide independent procurement services. This can include contractors, freelancers, consultants, advisors, auditors or other outsourced workers hired on a per-job or non-permanent basis.

If a council engages external professional expertise to enhance its procurement staff or for specific expertise, it must ensure that appropriate systems are in place to protect confidentiality, ensure adequate oversight of their work, actions and approvals, and mitigate any potential risks. Engaging external professional expertise is also subject to the Act and Regulation depending on cost and risk considerations.

Procurement training

It is crucial that staff involved in or overseeing procurement activities have the appropriate knowledge and skills to perform their duties effectively. Councils should conduct an audit of staff to assess if council has the right knowledge and skills mix across the procurement lifecycle and provide training to address any identified gaps.

Some of the key areas and topics councils may want to consider when assessing and training their staff include:

- procurement legislation, policies and procedures
- communicating effectively, including engagement, influencing and negotiating with probity
- analysis and implementation of improvements for better outcomes
- strategic alignment of and procurement objectives and plans
- commercial acumen in clarifying offers and terms of engagement
- contract law, liability and indemnity clauses
- contract management principles
- cost management, budgeting, procure to pay processes, variations and progress payments
- supplier relationship management
- project management
- specification writing in tenders

- procurement risk management, including foreign exchange risk, insurance cover and risk mitigation
- modern slavery risk management
- probity principles, including fraud and corruption prevention
- good governance, including reporting, open access information, confidentiality, and records management.

Reporting suspected corrupt conduct

Council staff involved in procurement must remain vigilant for any behaviour that may indicate corrupt conduct as defined in the *Independent Commission Corruption Act 1988*. Councils must ensure that:

- staff are aware that suspected corrupt conduct can be reported directly to ICAC, and
- suppliers understand how to report concerns whether to ICAC, a designated council officer or through the council's public interest disclosures policy, where applicable. This could be addressed through a statement of business ethics for suppliers.

2.4 Documentation, information and records management



Keeping, managing and protecting procurement related records must be done in compliance with the SR Act.

Council staff should familiarise themselves with their obligations and the standards and codes of best practice records management under the SR Act (see Part 2 of the SR Act).

The processes, requirements of what is being sourced, conditions for quote or tender submission, evaluation criteria, contracts and decisions for procurement activities are examples of some relevant records that must be clear, fully documented, transparent, and defensible.

Protection of confidential information

Appropriate security and confidentiality arrangements must be put in place and any information that is intellectual property, proprietary, commercial-in-confidence or otherwise confidential must not be disclosed or made accessible without suitable confidentiality arrangements in place. This includes arrangements for protection from cyber-security breaches or attack.

Councils should have clear procedures controlling how information and documents relating to tenders and other procurements are received, stored, handled and accessed in compliance with the applicable legislation. Access to tender documents should be restricted to only those persons involved in the tender process including the tender evaluation panel. The procedures should also state how access to tenders submitted by secure electronic means would be controlled (e.g. using e-tendering platforms).

Tendering documents

In conducting the tendering process councils should ensure record keeping as follows:

- maintain full records of the entire tendering process. This includes:
 - the council's decision to tender or an approved procurement plan or sourcing strategy
 - a copy of the public advertisement or means of advertising (e.g. e-tender notice of newspaper advertisement)
 - a complete copy of the tender documents provided to tenderers
 - the policy, procedure and relevant plans regarding the operation of the tender evaluation panel including the tender evaluation plan (if detail is not covered within the procurement plan) which includes the tender evaluation methodology, including criteria and weightings, and the names of staff involved
 - a copy of any variation to the tender documents which should be in the form of an addendum
 - the names of all parties who received tender documents
 - a record of all subsequent dealings with tenderers and information provided to them
 - the names of all tenders submitted
 - where a council submits a tender, any policy or procedure regarding the management of in-house tenders and the names of staff involved in an in-house tender
 - a record of any amendments to the tender documents and the persons informed of those amendments (see section 170(4) of the Regulation)
 - a record of any extension or shortening of the tender period (see sections 171 and 172 of the Regulation)
 - a record of any variations (including clarifications) to tenders made in accordance with section 176 of the Regulation
 - the evaluation of tenders and the reasons for recommending and selecting the successful tender or not accepting any of the submitted tenders (see section 178 of the Regulation)

- the notification to all tenderers of the outcome of the tendering process (see section 179 of the Regulation).
- document policies, procedures and decisions regarding risk assessment and management (refer to 2.3 for further information regarding risk management).
- comprehensively document all communications with potential tenderers.
- separately document the recommendation, review and final approval phases to ensure the process is transparent and compliant with the council's delegation of authority, policies and procedures.
- prepare an evaluation report on each tender.
- prepare a final report that documents the reasons, based on the tender criteria, for selecting the successful tender or, not accepting any of the submitted tenders.
- retain complete and comprehensive records of all tenders, evaluations and the contract itself.

Contract documents

Good contract and records management systems can help councils to organise and maintain records related to contracts, improve efficiency in tracking and monitoring executed contracts, contract expenditure and reduce risks for the council with clear reporting and alerts.

Councils should ensure record keeping of contracts as follows:

- Initiation – needs, goals and expectations.
- Creation – version tracking, via clarification of terms.
- Approval – ensuring alignment with initiation and other requirements.
- Execution – ensuring signatures of delegated persons who can sign contracts and implementation of agreed terms through a contract management plan.
- Monitoring and management – ongoing monitoring and auditing of contractor performance, compliance and deviations to contract terms addressed or via variation approvals.
- Renewal or termination – review of performance and KPIs against terms and council needs, goals and expectations for renewal or documenting termination process and reasons in line with contract terms.
- Reporting – supplier conformance, changes to contract requirements or needs, goals and expectations for tender for the continued requirement for the goods, materials or services.

Additionally, councils must comply with the requirements under the GIPA Act (refer to the *Government Information (Public Access) Act 2009* section).

2.5 Information, communication and technology

Councils should ensure that ICT systems they procure are compatible with the NSW Government platforms they are required to use. This requirement should be clearly stated in their tendering specifications. Additionally, councils are encouraged to incorporate this requirement into their procurement policies.

More information on NSW Government platforms is available at www.buy.nsw.gov.au.

Systems or platforms, regardless of cost must go through a procurement process that includes:

- Cyber and architectural review to ensure compatibility and security (see Cyber Security Guidelines)
- Vendor risk assessment, including data protection and breach notification obligations
- Risks associated with AI services
- Privacy and data sovereignty checks, especially where sensitive or regulated data is involved
- Contractual clarity on incident response and ongoing support
- Secure decommissioning and data sanitisation requirements.

2.6 Council procurement strategy, policies and procedures

Procurement strategy

Councils should require a well-considered and documented procurement strategy to be approved before starting any procurement. This promotes a more robust process by addressing the procurement need, outlining the procurement process, conducting risk analysis, determining the sourcing approach, setting evaluation criteria, evaluation panel members and methodology, planning contract management, transition, resourcing, and considering whole of lifecycle factors.

Policies and procedures

Councils are encouraged to develop and maintain fit-for-purpose policies and internal procedures to support councils' procurement strategy.

These policies and procedures should:

- reflect and align requirements of the Act, the Regulation and these Guidelines, and any other legislation and policies relevant to individual procurements
- reflect councils' own requirements and CSP and strategic priorities
- reflect councils Integrated Planning and Reporting framework and community expectations
- reflect and promote the principles of best-practice procurement
- reflect a best-practice procurement framework – at a minimum the plan, source, manage approach
- express councils' commitment to address modern slavery risks in its business activities, through a public statement of policy approved by its senior governing body
- identify how council may drive public value through promotion of local business, social enterprises and Aboriginal businesses
- identify councils' policy on social, environmental and economic procurement
- identify how procurement activities will be conducted, communicated, reported, monitored and reviewed
- identify documentation, information and record management requirements, including document retention, security and confidentiality
- identify control of associated risk, including the development of containment strategies or controls to mitigate loss/liability and contingency planning to respond to risks that may emerge
- set out what constitutes a breach, and the actions needed to be taken. It is essential that councils have in place systems and processes to avoid such breaches, and the mechanisms to report as required within their own policy, and
- identify the delegations and associated financial thresholds in place for the procurement of goods, materials and services.

These policies and procedures should be routinely updated to reflect legislation and requirements and opportunities of the time. This allows processes and procedures to be continually improved without the need to amend the policy for each change.

Councils' policies should also be published on their website as this assists in informing suppliers and the public about council's processes, increases confidence and trust in the council's procurement activities and thereby improves the relationship between council and their current and prospective suppliers and residents.

Local preference policies

Procurement policies can reflect a council's local circumstances, such as an objective to support local, small to medium enterprises and regional businesses, Aboriginal and Torres Strait Islander businesses, Australian made or developed goods or services, local innovation, Australian Disability Enterprises, social enterprises, or any other economic and environmental development goals and objectives.

Many councils recognise that local businesses are integral to their communities and are committed to promoting the benefits of locally sourced goods, materials or services and spending their public money within the communities they serve. However, it is crucial to ensure that value for money and fair and open competition principles are upheld during procurements as part of a transparent and probity-rich process.

Councils often face challenges when implementing policies that prioritise local purchasing, particularly in defining what constitutes a 'local' supplier or product. Traditionally, 'local' has been defined by business location or employment opportunities. However, even if a business is locally based, the economic benefits may not remain within the area due to factors like business ownership, where employees or the head office resides, or where the goods are sourced from. Councils could use the local regions or communities as defined in their Community Strategic Plan as a means to provide a desired hierarchy when defining what 'local' means.

Additionally, councils should be mindful of developing contractual arrangements that place onerous financial burdens on smaller or local suppliers that restrict them from submitting tenders and quotations. Contracts that require the purchase of machinery and other upfront costs over a short timeframe may discourage local suppliers or place them at a disadvantage.

There may be situations that arise from unforeseen events, unpredictable maintenance needs, or difficulty in valuing long-term environmental and social impacts, where it is impossible to accurately predict or account for all expenses associated with an asset throughout its entire lifespan.

To manage these tensions, councils should:

- clearly define what 'local' means in their context
- acknowledge the potential conflict between local support and life-cycle value for money objectives, and

- explicitly state how they will balance these priorities in their procurement policies.

By doing so, councils can support local economic development while maintaining transparency, fairness, and financial responsibility in procurement.

2.7 Risk considerations

All procurement carries some level of risk, including a heightened risk of fraud and corruption at any phase of the process and throughout the contract's duration. Risks of modern slavery must also be managed before entering, and during the life of, the contract. It is important for councils to be aware of potential risks and to develop a risk management framework that ensures risks are identified and appropriately managed.

For general guidance on preparing a risk management framework, councils may refer to the International Organisation for Standardisation (ISO) document 'Risk Management – Guidelines (ISO 31000:2018)'. For guidance on managing modern slavery risk, councils should refer to the NSW Anti-slavery Commissioner's Guidance on Reasonable Steps (see Resources).

All procurements should incorporate risk management practices that are proportionate to their value and risk level. For low value, low risk procurements, a simple mechanism may suffice, whereas high value and high-risk procurements will require a more structured plan, including consideration of probity. A council's procurement policy should establish the trigger point for when a more complex risk management plan is necessary.

ICAC's website provides guidance and various publications on corruption prevention and managing procurement related risks. Councils should consult this information for more details.

Further information on risk assessment frameworks can be found in the Glossary and Resources section.